

shifting your bond holdings in the direction of either greater maturity or increased credit risk.

Shifting away from a total market portfolio comes with risk. For higher dividend stocks, the investment portfolio becomes less diversified relative to the total stock market. Dividend-based approaches tend to overweight value stocks relative to the broad market. Portfolios become more concentrated as the top ten holdings in a dividend fund take up a much higher percentage of the total fund. It is also important to remember that dividend stocks are not bonds, so the value of these assets is highly correlated with the stock market. A stock downturn can decimate the portfolio value of dividend stocks.

Also, the misconception persists that higher dividends result in higher returns. In fact, the value of the portfolio drops by the amount of the dividend. Total wealth is not affected by a dividend payment. Actually, the dividend may be taxed at a higher income tax rate rather than the capital gains rate, diminishing after-tax returns with dividends. Higher-yielding dividend stocks have historically provided about the same total return as lower dividend stocks before considering taxes.

As for higher-yielding bonds, the idea is to shift toward longer maturity bonds or bonds with greater credit risk. First, switching to higher-yielding, longer-term bonds leaves investors more exposed to capital losses if interest rates increase. Long-term bond prices are more volatile. With current low yields, a small increase in interest rates will result in capital losses that cancel out the higher interest income. Consider that in January 2017, one-year Treasury bills were yielding 0.89 percent, and thirty-year Treasury bonds were yielding 3.04 percent (let's also assume a coupon rate of 3.04 percent to simplify the analysis). If the thirty-year bond is sold after one year, its return consists of the coupon payments matching 3.04 percent of principal plus any capital gain or loss. If interest rates for thirty-year bonds rose just eleven basis points to 3.15 percent, the capital loss experienced would reduce the total return to the same level as the Treasury bill. A bigger interest rate increase would lead the thirty-year bond to underperform. A capital loss can offset the additional yield with just a small rate increase for long-term bonds, wiping out their potential higher returns.